

- a lower allocation to stocks, and
- mixed results for the role of lifetime income guarantees, with shorter average retirements but some extremely long ones in the tail of the distribution.

The argument for using survival probabilities is that assuming a remaining lifespan of thirty years or longer for a typical person retiring at age sixty-five results in needless underspending. In this view, the probability of running out of financial assets should be defined as the probability of running out of financial assets *before death*, rather than within an arbitrarily long period of time. This creates competing risks for what comes first: death or financial portfolio depletion.

Dirk Cotton and his coauthors studied these competing risks in a 2016 article titled “Competing Risks: Death and Ruin,” in the *Journal of Personal Finance*. They found that retirement could generally be divided into three phases:

1. A low-risk period in early retirement with few portfolio failures and few deaths,
2. A middle period beginning around age eighty in which portfolio failures dominate, and
3. A late period starting in one’s early to midnineties when death becomes more likely than portfolio failure.

In other words, for those whose portfolios survive through the middle part of retirement, death becomes a more imminent likelihood than a late-life portfolio depletion.

The American Academy of Actuaries and the Society of Actuaries created the Longevity Illustrator to help users develop personalized estimates for their longevity based on a few questions about age, gender, and health. Exhibit 5.25 provides these numbers for sixty-five-year-old males and females based on their health assessment and smoking status.

*Exhibit 5.25*

*Planning Ages for 65-Year-Olds from the Longevity Illustrator*